The 80th Amendment Act of 2000 and the 101st Amendment Act of 2016 have introduced major changes in the scheme of the distribution of tax revenues between the centre and the states.

The 80th Amendment was enacted to give effect to the recommendations of the 10th Finance Commission. The Commission recommended that out of the total income obtained from certain central taxes and duties, 29% should go to the states. This is known as the 'Alternative Scheme of Devolution' and came into effect retrospectively from April 1, 1996. This amendment has brought several central taxes and duties like Corporation Tax and Customs Duties at par with Income Tax (taxes on income other than agricultural income) as far as their constitutionally mandated sharing with the states is concerned.[13]

The 101st Amendment has paved the way for the introduction of a new tax regime (i.e., goods and services tax – GST) in the country. Accordingly, the Amendment conferred concurrent taxing powers upon the Parliament and the State Legislatures to make laws for levying GST on every transaction of supply of goods or services or both. The GST replaced a number of indirect taxes levied by the Union and the State Governments and is intended to remove the cascading effect of taxes and provide for a common national market for goods and services. The Amendment provided for subsuming of various central indirect taxes and levies such as **(i)** Central Excise Duty, **(ii)** Additional Excise Duties, **(iii)** Excise Duty levied under the Medicinal and Toilet Preparations (Excise Duties) Act, 1955, **(iv)** Service Tax, **(v)** Additional Customs Duty commonly known as Countervailing Duty, **(vi)** Special Additional Duty of Customs, and **(vii)** Central Surcharges and Cesses so far as they related to the supply of goods and services. Similarly, the Amendment provided for subsuming of **(i)** State Value Added Tax / Sales Tax, **(ii)** Entertainment Tax (other than the tax levied by the local bodies), **(iii)** Central Sales Tax (levied by the Centre and collected by the States), **(iv)** Octroi and Entry Tax, **(v)** Purchase Tax, **(vi)** Luxury Tax, **(vii)** Taxes on lottery, betting and gambling, and **(viii)** State Surcharges and Cesses in so far as they related to the supply of goods and services. Further, the Amendment deleted Article 268-A as well as Entry 92-C in the Union List, both were dealing with service tax. They were added earlier by the 88th Amendment Act of 2003. The service tax was levied by the Centre but collected and appropriated by both the Centre and the States.

After the above two amendments (i.e., 80th Amendment and 101st Amendment), the present position with respect to the distribution of tax revenues between the centre and the states is as follows:

A. Taxes Levied by the Centre but Collected and Appropriated by the States (Article 268): This category includes the stamp duties on bills of exchange, cheques, promissory notes, policies of insurance, transfer of shares and others.

The proceeds of these duties levied within any state do not form a part of the Consolidated Fund of India, but are assigned to that state.

B. Taxes Levied and Collected by the Centre but Assigned to the States (Article 269): The following taxes fall under this category:

(i) Taxes on the sale or purchase of goods (other than newspapers) in the course of inter-state trade or commerce.

(ii) Taxes on the consignment of goods in the course of inter-state trade or commerce.

The net proceeds of these taxes do not form a part of the Consolidated Fund of India. They are assigned to the concerned states in accordance with the principles laid down by the Parliament.